However, the carrots have all been implemented. The panel had suggested that for every 100 points rise in DA, the government should merge 50 per cent of the DA with the salaries to revise the pay scales. This was meant to delay the need for another commission but that has not happened.

The best bet against any profligacy by the new commission is the memory of the impact of the last pay commission. The states and Centre have become wiser. So it is on the cards, that there will be no shock like the last time. But just as the last commision led to the enactment of the Fiscal Responsibility and Budget Management Act, the present could result in scuttling of the act, or at least delaying the goals of achieving a 3 per cent fiscal deficit at the Centre and zero revenue deficit by 2009, by another few years. The proposed commision is, however, in a good position to look at the still rising numbers in the government staff rolls and suggest clear cut policy to check it.

SKIMMING PRICE

A pricing method of charging high profits–adopted by a firm when consumers are not price- sensitive and demand is price-inelastic.

SOCIAL COSTS

The costs borne by the society at large resulting from the economic activities by the firms–pollution being a prominent example.

SOLVENCY MARGIN

The term made news in the 1970s concerning a life insurance company. The only requirement, till then, by a life insurance company was that the value of its assets should not be less than the value of its liabilities. The regulators in many conntries felt that the value of assets should exceed the value of liabilities by a certain margin. This margin which came to be known as